

CHAPTER - 3

PROPOSAL

The first step in making of a contract there must be a lawful offer by one party and a lawful acceptance by the other party.

Meaning:

Section 2 (a) of the Indian Contract Act, 1872, states that when one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other person either to such act or abstinence, he is said to make a proposal.

Essentials of a proposal:

- I. It must be an expression of the willingness to do or to abstain from doing something.
- II. It must be made to another person

- III. It must be made with a view of obtaining the assent of the other person

Please Note: A Casual Inquiry Is Not A Proposal.

Promisor/Promisee

Promisor: The person making the proposal [Section 2 (c)]

Promisee: the person accepting the proposal [Section 2 (c)]

Illustration: Mr. Ram says to Mr. Shyam, "Will you purchase my car for Rs.5, 00,000?" In this case, Mr. Ram is making an offer to Mr. Shyam. Here Mr. Ram is the promisor and Mr. Shyam is the promisee.

TYPES OF OFFERS



General Offer - It is an offer made to the world at large.

Case Law: Carlill v. Carbolic Smoke Ball Co.

Facts in brief: Company advertised that a reward of £100 would be given to any person who would suffer from influenza after using the medicine (Smoke balls) made by the company according to the printed directions. One lady, Mrs. Carlill, purchased and used the medicine according to the printed directions of the company but suffered from influenza, she filed a suit to recover the reward of £100

Held: The court held that there was a contract as she had accepted a general offer by using the medicine in the prescribed manner and was entitled to recover the reward from the company

Case Law: Harbhajan Lal v. Harcharan Lal

Facts in brief: - A boy absconded from his house and his father offered a reward (Rs.10, 000) in a pamphlet. One Harbhajan Lal, who knew about the reward, saw the boy and took him to police station. He sent a telegram to the boy's father that he had found his son.

Held- Mr. Harbhajan Lal, by tracing the missing boy, had substantially performed the conditions of the offer. Therefore, it was held that he was entitled to receive the amount of reward. Offer is closed as soon as the first information is received by the offeror.

Specific offer - It is an offer made to a particular person or group of persons.

Cross offer - When two offers of same terms and conditions cross each other at same time, it is called cross offer.

Two cross offers do not conclude a contract. Two offers are said to be cross offer if:

- They are made by the same parties to one another
- Each offer made in ignorance of the offer made by another person
- The terms and conditions contained in both the offers are same

Illustration: A offers by a letter to sell 100 tons of steel at Rs.1, 000 per ton. On the same day, B also writes to A offering to buy 100 tons of steel at Rs.1, 000 per ton.

Standing offer - An offer is a standing offer if it is intended to remain open for a specified period.

It refers to a tender to supply goods as and when required. Each successive order given creates a separate contract. It does not bind either party unless and until such orders are given.

Illustration: When we ask the newspaper vendor to supply the newspaper daily. In such case, we do not repeat our offer daily and the newspaper vendor supplies the newspaper to us daily. The offers of such types are called Standing Offer.

Express offer - It is an offer which is made by words either oral or in writing.

Implied offer - It is an offer which is made by conduct or gesture of the parties.

Rules Governing Offers

1. **An offer must be clear, definite, complete. It must not be vague.**

Illustration: Mr. A, promises to pay an increased price for a horse to Mr. B if it proves lucky to promisor. The offer is vague and is not binding.

2. **Offer must be communicated to the offeree:**

The offer is completed only when it has been communicated to the offeree. Until the offer is communicated, it cannot be accepted. Thus, an offer accepted without its knowledge, does not confer any legal rights on the acceptor.

Case Law: Lalman Shukla v. Gauri Datt

Facts in brief: A's nephew had absconded and he sent his servant to trace his missing nephew. The servant discovered the missing boy without knowing the reward, which was announced by A.

Held-The servant was not entitled to the reward because he did not know about the offer when he discovered the missing boy.

3. **Offer may be express and implied:** The offer may be express or implied; An offer made by words spoken or written, is called an express offer. The offer which is expressed by conduct is called an implied offer [Section 9].
4. **Offer must be distinguished from invitation to offer.**

Invitation to Offer: Where a party, without expressing his final willingness, proposes certain terms on which he is willing to negotiate, he does not make an offer but merely 'invites' the other party to make an offer on those terms.

Illustration-Menu card of restaurant is an invitation to put an offer.

Price-tags attached with the goods displayed in any showroom or supermarket is also an invitation to proposal. If the sales man or the cashier does not accept the price, the interested buyer cannot compel him to sell, if he wants to buy it, he must make a proposal.

Offer	Invitation to offer
➤ Final willingness to enter into legal relationship.	➤ Invitation to a person to make an offer.
➤ It is final willingness of a party to enter into a contract.	➤ It is not the final willingness.
➤ Offer is reciprocated by an acceptance	➤ Reciprocation of invitation results in offer.
➤ It is one stage after invitation	➤ It is one stage before offer.
➤ As it is final, then its term and condition will also final.	➤ As it is not final, then its term and condition will also not final.
Example Application filled in by a prospective applicant to the Institution, a student seeking admission in educational Institution.	Example Issue of prospectus by a Company, pamphlet , railway timetable, catalogue of books, display of price of articles

Case Law: Pharmaceutical Society of Great Britain v. Boots Cash Chemist Ltd

Facts in brief- Goods were displayed in A's shop with price chits attached to the articles. B, a customer entered the shop and picked up a bottle of medicine from the selves.

Held- This will not amount to acceptance of an offer to sell. It is merely an offer by the customer to buy, and there will be no acceptance of the offer until the price is accepted by A, the shopkeeper

5. Offeror should have an intention to obtain the consent of the offeree.

6. An answer to a quotation is not an offer.

Case Law: Harvey v. Face

Facts in brief- A asked the following two questions in his first telegram. (a) Willingness to sell (b) lowest price. B only answered the second question, and reserved his answer to his willingness to sell.

Held - It is an invitation to offer and no contract was done. Therefore, he had made no offer.

7. Offer must be distinguished from mere statement of intention

Case Law: Harris v. Nickerson

Facts in brief- A, an auctioneer, announced that specified goods will be sold by auction on a particular day. This statement is not an offer to hold the auction.

Held- This is merely a statement of an intention to hold auction. A will not be liable if he does not hold the auction on specified day.

8. Offer must express the final willingness of the offeror

Case Law: McPherson v. Appana

Facts in brief - A offered to purchase a lodge from B for Rs. 95000. B's agent replied "we won't accept less than Rs. 100000." A accepted this offer but B refused to sell the lodge for Rs. 100000. A brought a legal action for specific performance.

Held- The negotiation did not result into a contract, as B did not agree to sell for Rs. 100,000 as asked by A. He did not express his final willingness to sell.

Lapse of offer:

An offer may come to an end in any of the following ways:

1. **By communication of notice of revocation:** An offer may come to an end by communication of notice of revocation by the promisor. It may be noted that an offer can be revoked only before its acceptance is complete for the promisor. In other words, a promisor can revoke his offer at any time before he becomes bound by it. Thus, the communication of revocation of offer should reach the promisee before the acceptance is communicated.
2. **By lapse of time:** Where time is fixed for the acceptance of the offer, and it is not acceptance within the fixed time, the offer comes to an end automatically on the expiry of fixed time. Where no time for acceptance is prescribed, the offer has to be accepted within reasonable time. The offer lapses if it is not accepted within that time. The term 'reasonable time' will depend upon the facts and circumstances of each case.
3. **By failure to accept condition precedent:** Where, the offer requires that some condition must, be fulfilled before the acceptance of the offer, the offer lapses, if it is accepted without fulfilling the condition.
4. **By the death or insanity of the promisor:** Where, the promisor dies or becomes insane, the offer comes to an end if the fact of his death or insanity comes to the knowledge of the acceptor before he makes his acceptance. But if the offer is accepted in ignorance of the fact of death or insanity of the promisor, the acceptance is valid.

This will result in a valid contract, and legal representatives of the deceased promisor shall be bound by the contract.

Please Note: Promisee's death or insanity before accepting the offer puts an end to the offer and his legal representatives cannot accept it on his behalf.

5. **By counter-offer by the promisee:** Where, a counter-offer is made by the promisee, and then the original offer automatically comes to an end, as the counter-offer amounts to rejections of the original offer.

Case Law: Hyde v. Wrench

Facts in brief: In response to an offer to sell an estate at a certain price, the plaintiff made an offer to buy at a lower price. This offer was refused and subsequently, the plaintiffs sought to accept the initial offer.

Held: It was held that no contract was made as the initial offer did not exist at the time that the plaintiff tried to accept it, the offer having been revoked by the counter offer,

6. **By not accepting the offer, according to the prescribed or usual mode:** Where some manner of acceptance is prescribed in the offer, the promisor can revoke the offer if it is not accepted according to the prescribed manner.
7. **By rejection of offer by the promisee:** Where, the promisee rejects the offer, the offer comes to an end. Once the promisee rejects the offer, he cannot revive the offer by subsequently attempting to accept it. The rejection of offer may be express or implied.

Please Note: A rejection is effective only when it comes to the knowledge of the promisor.

8. **By change in law:** Sometimes, there is a change in law which makes the offer illegal or incapable of performance. In such cases also, the offer comes to an end.